



our core areas,” says Sridharan, adding that the group will build businesses around these.

Meanwhile DBS, with a lending book of ₹43,898 crore, classifies its businesses as large corporates, SMEs, and consumer. Its loan mix is about 60 per cent large corporates with the balance equally divided between SMEs and retail. Under retail, it has gold loans, small business loans, and credit cards. “We currently have about 3 million active retail customers. So, we can also start doing credit cards for them,” says Shome. DBS is also exploring getting into affordable housing finance. “We will probably do it through a combination of first working with large-scale affordable housing players, and then deciding whether we want to do it ourselves. We could also do it as a combination of the two,” says Shome. The bank is looking at an ideal loan mix of 40 per cent large corporate, with 30 per cent each of SME and consumer banking. The bank has big plans for MSME lending, small business loans in smaller geographies, and affordable housing loans.

54 | The Godrej Group, too, has a loan book of nearly ₹2,400 crore as of June this year. “By March 2026, we will have ₹30,000 crore,” says Shah. Over the past 18 months, the group has approved ₹4,300 crore of home loans, including loans against property, and served almost 5,500 customers. “We were able to build a book of ₹1,775 crore by the end of March, with no delinquency,” says Shah, adding that the group is happy with the quality of its loans.

Meanwhile, Poonawalla Fincorp has built a book of about ₹17,660 crore. The company has said that one of its objectives is to triple its assets under management (AUM) over the next three years. Chaudhari says the company wants to have an AUM of ₹50,000 crore by 2025. “We have the requisite capital available for it. And, we are performing well on all parameters in terms of our credit losses,” he adds. It plans to maintain a mix of secured and unsecured accounts at about 60:40. Currently, the unsecured portion is less than 24 per cent of the overall book.

DIGITAL FIRST

One big advantage the new players have, which is often overlooked, is that their operating costs and models are leaner than the traditional banks and financial institutions. “It’s cloud-first, open API, and digital from the inside from day one. If the customer chooses not to use all of it, no problem. We are as digital as the customer needs us to be,” says Shah of Godrej. He narrates an incident when a potential homebuyer, who worked

for a technology major in Bengaluru but was working out of his hometown during the Covid-19 lockdowns, decided to put off the purchase. The team convinced the buyer to do the entire transaction online, including signing the loan documents digitally, disbursing the money, and making sure that he went ahead with his home purchase without visiting Bengaluru.

It is also focussing on more innovative offerings in a commoditised home loan market. For instance, it has launched a product called ‘Design Your Own EMI’, under which the homebuyer can decide to pay only the interest as EMI in the initial years. “You have to do this at scale. And, if you have to do this at scale, it cannot be person-dependent. It has to be system-driven,” says Shah. The company is also amongst the very few players offering loans with a tenure of 25 years.

At DBS, the focus is on SME lending—where it is using both its physical network and technology to reach out to potential customers. “We have built our own underwriting platform, which is end-to-end digital. And, we use 10-12 different data sources to estimate credit quality,” says Shome, adding that this includes scraping legal reports, social media, etc., to home in on credit-worthy firms.

As for the Piramal Group, it has built a lot of core technology itself and created a modular structure so that the company can link up with multiple external parties. “We have invested a lot in building our own tech and analytics capabilities,” says Sridharan. Similarly, Poonawalla Fincorp offers a 100 per cent digital journey for unsecured loans.

THE WAY AHEAD

While the space is exciting, it’s not without challenges. For instance, the new RBI guidelines have taken away arbitrage opportunities for NBFCs. “If your greatest attraction for getting into this business was the regulatory arbitrage between banks and NBFC, then that [story] is over,” says Godrej Capital’s Shah. Clearly, the regulators want serious players. “They want players who will get into untapped geographies and underbanked areas,” he adds. “I think it’s high time that we get aligned to the fact that this is a very regulated business. And, the arbitrage, if at all, can only be short term,” adds Chaudhuri of Poonawalla Fincorp.

“These new players are on a hiring spree at all levels. The biggest challenge comes from this as the people come from different organisations,” says a consultant with the Big Four who is working with some of these NBFCs. For the Godrej Group, the first 100 people